DONOHUE ENTERTAINMENT

“It all started with a mouse.”

STORY BIBLE — VOLUME 06: THE COMPANY

Founded Tuesday, October 16, 1923 — Los Angeles, California

Headquarters: Burbank, California

Market value (April 2006): **$1.5 trillion**, the most valuable company on Earth

LOCKED RULE: In our story, **The Walt Disney Company does not exist.** Donohue Entertainment takes its exact place: the same history, films, characters, parks and acquisitions, built and run by the Donohue family.

1. At a Glance (April 28, 2006)

Item	Detail
Legal name	Donohue Entertainment, Inc. (NYSE: **DNE**; a component of the Dow Jones Industrial Average)
Founded	October 16, 1923, Los Angeles, as the *Donohue Brothers Cartoon Studio*
Founders	Augustus “Gus” Donohue (creative) and Lucius Donohue (business)
Headquarters	The Donohue Studios lot, Burbank, California (since 1940)
Chairman	Victor Donohue (69), Chairman since 1996 and CEO from 1966 to 1996
CEO	Natasha Donohue Bullock (44), CEO since 1996
Market value	$1.5 trillion (about 6.0 billion shares at about $250 each)
Fiscal 2005 revenue	About $172 billion; net income about $41 billion
Employees	About 410,000 worldwide
Logo	The castle, with the Donohue signature in script; **Mickey Mouse** is the company mascot
Family creed	“Own everything you create.” Gus's lesson after losing Oswald the Lucky Rabbit in 1928.

Why it's worth $1.5 trillion: Donohue isn't just a studio. It is the world's largest owner of characters, music, sports rights, broadcast networks, theme parks, consumer brands, real estate and entertainment technology, and it keeps all of it in the family. Almost every person on Earth has given Donohue money this year without realizing it.

2. The History

Origins (1899-1923)

Augustus “Gus” Donohue was born Wednesday, February 22, 1899, in Tulsa, Oklahoma, and grew up in the Greenwood district, the prosperous Black neighborhood known as “Black Wall Street.” He was a gifted cartoonist who drew for the neighborhood's Black newspaper. On May 31 and June 1, 1921, the **Tulsa Race Massacre** burned Greenwood to the ground. The Donohue family's print shop was destroyed. Gus, now 22, and his older brother **Lucius**, a World War I veteran who had served in France, put their mother on a train and went west to Los Angeles with almost nothing.

> The family story everyone at Donohue knows: *Gus said they had built something beautiful once and watched other people burn it down. This time, nobody would be able to touch it.*

The Studio Years (1923-1966)

Year	Milestone
1923	**October 16:** the Donohue Brothers Cartoon Studio is founded in Los Angeles. Gus draws and Lucius runs the business. Gus's wife **Ruby (née Hale)** works in ink and paint. The *Alice Comedies* follow.
1927-28	**Oswald the Lucky Rabbit** becomes a hit, but in February 1928 the distributor, Charles Mintz, and Universal take Oswald and most of the animators. Gus vows to own everything from then on, and that becomes the company's founding law.
1928	**Mickey Mouse** is born. *Steamboat Willie* (Sunday, November 18, 1928) is the first hit cartoon with synchronized sound. Gus does Mickey's voice himself.
1932	The first full Technicolor cartoon, and the studio's first Academy Award.
1937	***Snow White and the Seven Dwarfs***, the first American feature-length cel-animated film, premieres on Tuesday, December 21, 1937, at the Carthay Circle Theatre. It becomes the highest-grossing sound film of its time.
1940	The company moves to its new Burbank studio, which is still its headquarters. *Pinocchio* and *Fantasia* are released.
1941	An animators' strike, and the founding of the **Donohue Foundation**.
1942-45	Wartime training and morale films. Donohue characters are painted on military insignia and aircraft.
1954	*Donohueland*, the television series, premieres on ABC on October 27. The relationship with ABC begins.
1955	**Sunday, July 17: Donohueland** opens in Anaheim, the world's first modern theme park.
1964	**Victor Donohue**, Gus's son, who broke away from his father to become an actor in New York, co-founds **Smilley-Donohue Productions** with his best friend **Cornelius Smilley**. It is an independent live-action label, distributed by Donohue Entertainment and funded largely by the Smilley Fund.
1966	**Thursday, December 15:** Gus Donohue dies at 67. The board wants an outside CEO. Victor, 30, wins control by folding Smilley-Donohue Productions and its hit film library into Donohue Entertainment. **Cornelius is bought out and the Smilley Fund is wiped out** (see Volume 05). Victor becomes CEO.

The Victor Era (1966-1996)

Year	Milestone
1971	**October 1:** the **Donohue World Resort** opens in Orlando, Florida, with its own self-governing special district. Lucius Donohue dies that December, having seen his brother's last dream completed.
1983	The **Donohue Channel** launches on cable on April 18. **Tokyo Donohueland** opens on April 15.

Year	Milestone
1984	Corporate raider Saul Steinberg attempts a hostile takeover, and Victor beats him off. The company launches **Touchstone Pictures** for adult audiences.
1986	**Recapitalization:** Victor creates super-voting Class B shares so the family can never be taken over again.
1989-99	**The Donohue Renaissance** in animation: *The Little Mermaid*, *Beauty and the Beast*, *Aladdin*, *The Lion King* and more. **Hollywood Records** launches in 1989.
1992-93	**Euro Donohue** (later Donohueland Paris) opens on April 12, 1992. The company buys Miramax in 1993.
1995-96	Donohue buys **Capital Cities/ABC**, including **ABC** and **ESPN**, for $19 billion. It is the biggest media deal in history at the time.

The Natasha Era (1996-present)

Year	Milestone
1996	**Natasha Donohue Bullock**, 35, becomes CEO and Victor becomes Chairman. Natasha completes the ABC integration and makes the company leaner and more ruthless. In 1997 she raids Smilley Management Group's clients.
1998	The **Donohue Cruise Line** launches.
2004	Donohue buys the Muppets.
2005	**September 12: Hong Kong Donohueland** opens.
2006	**January 24:** Donohue announces it will buy **Pixar** for $7.4 billion. **The deal closes on May 5, 2006, one week after our story begins.**

Real History Still Ahead (it happens as it really did, with Donohue in Disney's place)

Date	Event
Aug 31, 2009	**Donohue announces it is buying Marvel Entertainment** for $4 billion. Marc-Anthony, a Donohue grandson, will by then already be Iron Man, which raises charges of nepotism and gives Desmond Smilley ammunition.
Oct 30, 2012	Donohue buys Lucasfilm (*Star Wars*) for $4.05 billion.
2016	**Shanghai Donohueland** opens.
2017-19	Donohue buys 21st Century Fox for $71.3 billion. **The X-Men, the Fantastic Four and Deadpool come home**, which is the payoff of our Rights Reservation Doctrine.
Nov 12, 2019	The **Donohue+** streaming service launches.

3. The Empire (2006 Divisions)

Division	What it includes
Studio Entertainment	Donohue Pictures; Donohue Animation; Pixar (closing May 5, 2006); Touchstone Pictures; Miramax; Hollywood Records; Buena Vista distribution; Donohue Theatrical (Broadway)
Media Networks	ABC Television Network and owned stations; **ESPN** (majority owner); the Donohue Channel; ABC Family; stakes in A&E, History and Lifetime; ABC Radio
Parks & Resorts	Donohueland (Anaheim, 1955) and Donohue's California Adventure; Donohue World (Orlando, 1971); Tokyo Donohue Resort (1983, licensed); Donohueland Resort Paris (1992); Hong Kong Donohueland (2005); Donohue Cruise Line; Donohue Vacation Club
Consumer Products	The world's largest licensing business: toys, clothing, books, Donohue Stores, Donohue Publishing (Hyperion-equivalent), and baby and food brands
Interactive	Video games, Donohue.com, and mobile content
Donohue Imagineering	The secret weapon: patents in animatronics, motion capture, ride systems, projection and robotics, licensed to aerospace companies, hospitals and the military

Note: Everything is exactly as in real history. Only names that contained “Disney” change, for example Toon Disney becomes **Toon Donohue** and Radio Disney becomes **Radio Donohue**.

The Monopoly: How Everyone Depends on Donohue

- **Childhood:** nearly every child on Earth grows up with Mickey Mouse. The Donohue Channel is where America's child stars are made, Marc-Anthony, Elxa, Tayia, Grace and Esther among them, and so is a generation of rivals.
- **Sports:** ESPN controls the main sports broadcast rights. Every league depends on Donohue's money.
- **News and television:** ABC News and the owned stations reach most American homes.
- **Music:** Hollywood Records and Donohue Music Publishing own one of the largest song catalogs in existence. Every wedding, commercial and karaoke night pays a royalty.
- **Hollywood itself:** Donohue distributes, finances or owns a stake in a huge share of what gets made. Rival studios rent its post-production facilities and license its technology. Talent agencies need its deals. Very few people in Hollywood can afford to cross Donohue, which is exactly why the Smilleys are so isolated.
- **Hidden reach:** Imagineering robotics are in hospital rehabilitation equipment. Donohue World has its own government in Florida. The company owns real estate, holds tech patents and has supplier relationships with millions of small businesses.
- **Antitrust:** regulators at the Justice Department, the FTC and the European Commission circle constantly. Lawmakers threaten to break the company up, and Natasha's lobbyists and lawyers win every time. This is an ongoing source of drama.

The Donohue Foundation — Spares No Expense

Founded in 1941, it is the world's largest corporate charity. It funds full-ride scholarships, endowments for HBCUs (historically Black colleges and universities), children's hospitals (each with a Mickey Mouse wing), free park visits for seriously ill children and their families, disaster relief that often arrives before the Red Cross, arts education in every state, and the **Greenwood Fund**, Gus's memorial, which invests in Black-owned businesses. The family motto: *“If we're going to give, give like we mean it.”*

4. Share Distribution (April 28, 2006)

Donohue uses a **dual-class share structure**, like Ford, Comcast, Berkshire Hathaway and Google in real life. It was created in Victor's 1986 recapitalization so the company can never be taken over.

Class	Shares	Votes per share	% of equity	% of voting power
Class A (public, NYSE: DNE)	4.68 billion	1	78.0%	26.2%
Class B (Donohue family only; not traded)	1.32 billion	10	22.0%	**73.8%**
Total	6.00 billion	—	100%	100%

What this means: the Donohue family owns less than a quarter of the company but controls almost three-quarters of the votes. No investor, raider or board revolt can overrule them. If a Class B share is sold outside the family, it automatically converts to an ordinary Class A share.

Who Owns Donohue

Shareholder	Class	% of equity	Approx. value*
Victor & Joan Donohue	B	9.0%	$135 billion
Natasha & Robert Bullock	B	7.5%	$112.5 billion
Donohue Family Trust (Gus and Lucius's legacy shares; Victor is trustee)	B	4.0%	$60 billion
Trusts for Elxa, Marc-Anthony and Grace (0.5% each)	B	1.5%	$7.5 billion each
Donohue family total	B	*22.0%*	*$330 billion*
Barclays Global Investors	A	4.2%	$63 billion
The Vanguard Group	A	3.7%	$55.5 billion
State Street Global Advisors	A	3.3%	$49.5 billion
Fidelity Investments	A	3.1%	$46.5 billion
Capital Research & Management	A	2.9%	$43.5 billion
Employee stock plans	A	1.6%	$24 billion
Steve Jobs (from the Pixar deal, on closing May 5, 2006)	A	about 0.5%	about $7.4 billion
The Smilley family (shares from the 1966 buyout, never sold)	A	0.08%	$1.2 billion
Other institutions (pension funds such as CalPERS, mutual funds, sovereign funds, hedge funds)	A	about 41.7%	about $625 billion
Individual retail investors	A	16.9%	$253.5 billion

*Value at a $1.5 trillion market capitalization. The Pixar share swap slightly increases the share count when it closes.

The Smilleys' 0.08%: it's the last piece of what Cornelius received in 1966, and the family has never sold a single share. It gives them the right to attend every annual meeting and speak at the microphone. Desmond has been using that right for years, and it is a weapon waiting to be used.

Marc-Anthony's wealth: in 2006 his trust holds 0.5% of Donohue, about $7.5 billion, on top of his own earnings. His canon personal net worth of over $990 billion builds over the course of the saga.

5. The Disney Replacement Map

LOCKED: everything is exactly the same as real history. Every film, character, park, channel, label, acquisition and date is Disney's, except that the company is Donohue Entertainment, founded and run by the Donohue family. Only names that contained “Disney” change.

Real world	Our world
The Walt Disney Company (1923, Burbank)	Donohue Entertainment (1923, Burbank)
Walt and Roy Disney	Gus and Lucius Donohue
Mickey Mouse, Oswald the Lucky Rabbit, *Steamboat Willie*, *Snow White*, and every Disney film and character	**Exactly the same**, created by Donohue
Disneyland (1955) / Walt Disney World (1971)	Donohueland (1955) / Donohue World (1971)
Disney Channel / Toon Disney / Radio Disney	Donohue Channel / Toon Donohue / Radio Donohue
Touchstone Pictures / Hollywood Records / Buena Vista	Exactly the same
Walt Disney Imagineering	Donohue Imagineering
Disney+ (2019)	Donohue+ (2019)
The “Disney Renaissance”	The “Donohue Renaissance”
Michael Eisner and Bob Iger	They exist as real people with different careers. Their place at the top is held by the Donohues.

Open Questions

- **Victor's siblings:** is Victor Gus and Ruby's only child, with the whole dynasty flowing through him?
- **What really happened in 1966:** do you want to decide it, or should I build the reveal as the story goes?